

STOCK MARKET BASICS RESEARCH REPORT

Introduction

The stock market is an important part of the financial system. It provides a platform where investors can buy and sell shares of companies. Companies use the stock market to raise funds for business expansion, while investors use it to earn returns on their investments. The stock market contributes significantly to economic growth by encouraging savings and investments.

What is the Stock Market?

A stock market is a marketplace where shares of publicly listed companies are traded. A share represents ownership in a company. Investors who buy shares become shareholders and may benefit from dividends and increases in share prices. The stock market helps in capital formation, provides liquidity, and enables price discovery through demand and supply.

Major stock exchanges in India include the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE). These exchanges ensure transparent and regulated trading activities.

Primary Market vs Secondary Market

The Primary Market is where companies issue new shares to the public for the first time. This is usually done through an Initial Public Offering (IPO). Funds collected from investors go directly to the company for business purposes.

The Secondary Market is where existing shares are bought and sold among investors. Companies do not receive money from these transactions. Instead, investors trade shares through stock exchanges such as NSE and BSE.

Key Differences:

- Primary Market: New securities are issued.
- Secondary Market: Existing securities are traded.
- Primary Market helps raise capital.
- Secondary Market provides liquidity to investors.

Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the regulator of the securities market in India. It was established in 1988 and received statutory powers in 1992. SEBI's main objective is to protect investors and ensure the fair functioning of the stock market.

Functions of SEBI:

1. Protects investors from fraud and unfair practices.
2. Regulates stock exchanges and market participants.
3. Prevents insider trading and market manipulation.
4. Registers and monitors brokers and intermediaries.
5. Promotes transparency and efficiency in the securities market.

SEBI plays a vital role in maintaining investor confidence and ensuring that trading activities are conducted fairly and transparently.

Conclusion

The stock market is an essential component of the economy that facilitates investment and business growth. The Primary Market helps companies raise capital, while the Secondary Market enables trading of existing securities. SEBI acts as the regulatory authority that protects investors and ensures the smooth functioning of the securities market. Together, these elements contribute to the development of India's financial system.

References

1. SEBI Publications
2. NSE India Resources
3. BSE India Resources
4. Financial Markets Textbooks